

# ECONOMY

## LECTURES



**RECEIPTS & EXPENDITURE OF THE GOVT.**

**MODULE - 22**

# ECONOMY

## PUBLIC FINANCE



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## FISCAL POLICY

### GOVERNMENT EXPENDITURE



This is also known as public expenditure

### TAXES







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# ECONOMY

## OBJECTIVES OF FISCAL POLICY

### PRIMARY OBJECTIVES

#### GDP GROWTH



#### PRICE STABILITY



## MIXED ECONOMY AND GOVERNMENT'S ROLE

### 1. ALLOCATION FUNCTION



These are public goods, which are distinct from private goods and these cannot be provided through market mechanism and must be provided by the government and this is the allocation function.



## MIXED ECONOMY AND GOVERNMENT'S ROLE

### 2. DISTRIBUTION FUNCTION



The government affects personal disposable income of households by making transfer payments and collecting taxes. This can alter the income distribution. This is the distribution function.



## MIXED ECONOMY AND GOVERNMENT'S ROLE

### 3. STABILIZATION FUNCTION



**UNEMPLOYMENT**

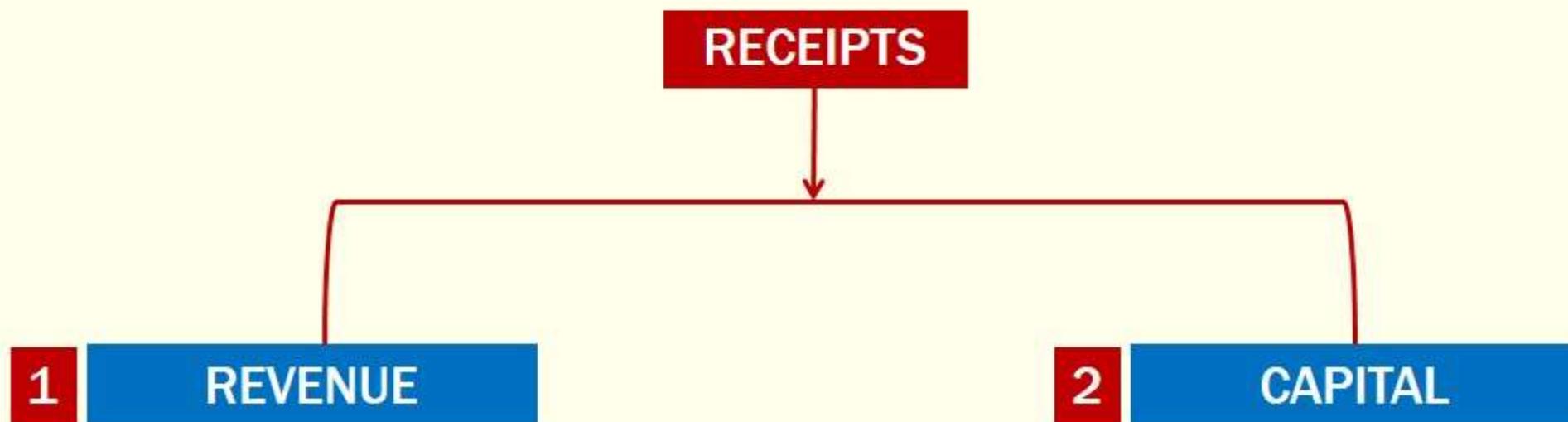


**INFLATION**

The Government has got the responsibility to stabilize the economy as and when the need arises

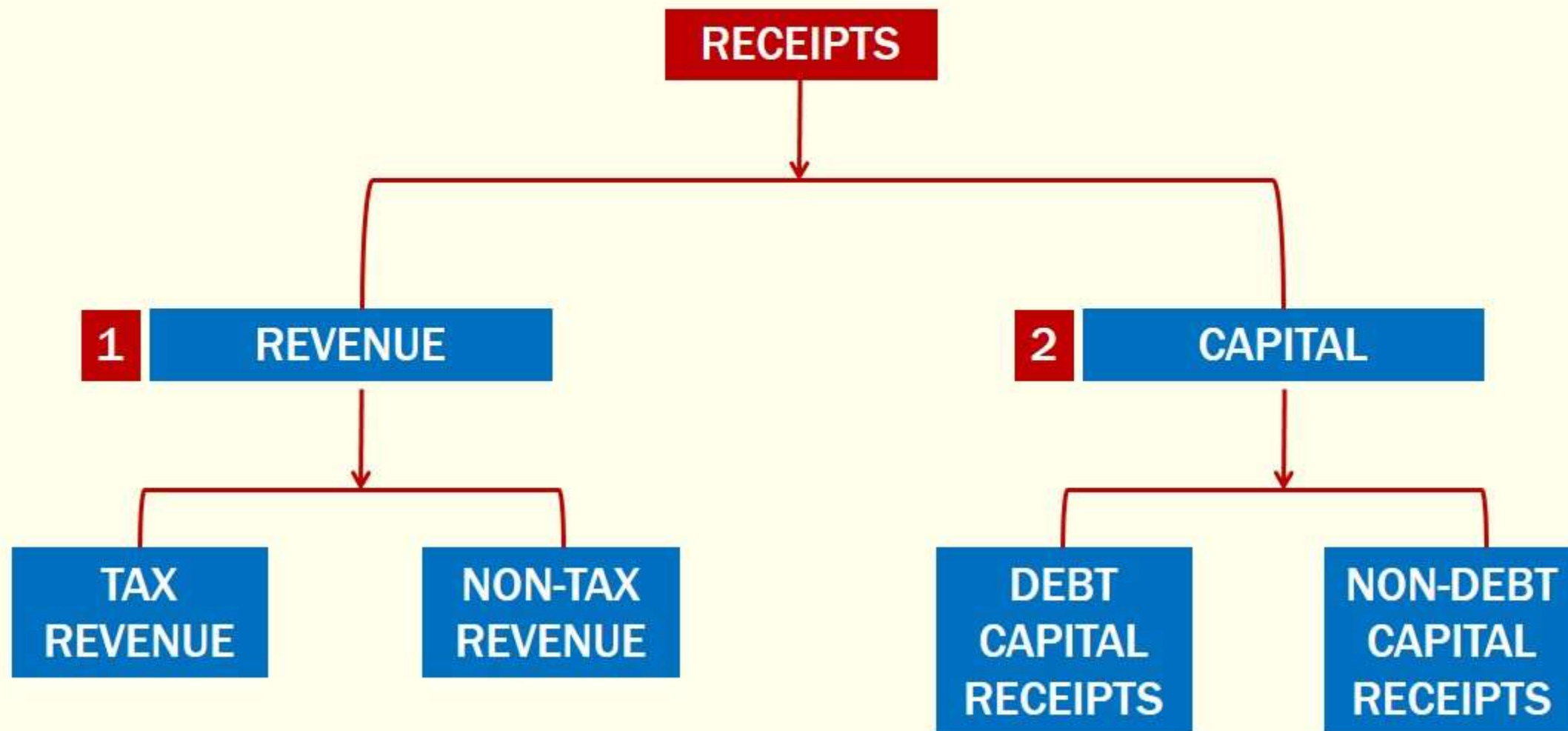


## GOVERNMENT RECEIPTS





## GOVERNMENT RECEIPTS







## GOVERNMENT RECEIPTS

### RECEIPTS

1

### REVENUE

### TAX REVENUE

#### DIRECT TAX

- Corporation tax
- Personal income tax

#### INDIRECT TAX

- Customs duty
- Excise duty
- Service tax

GST

### NON-TAX REVENUE

- Interest receipts on loans by the Central Government
- Dividends and profits on investments made by the Central Government.
- Cash grants-in-aid from foreign countries.
- Grants-in-aid from international organizations



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# ECONOMY

## GOVERNMENT RECEIPTS

### TAX REVENUE

#### DIRECT TAX

- Corporation tax
- Personal income tax

#### INDIRECT TAX

- Customs duty
- Excise duty
- Service tax

### DIRECT TAX

#### CORPORATION TAX



#### PERSONAL INCOME TAX







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## GOVERNMENT RECEIPTS

### TAX REVENUE

#### DIRECT TAX

- Corporation tax
- Personal income tax

#### INDIRECT TAX

- Customs duty
- Excise duty
- Service tax

#### INDIRECT TAX

##### Customs duty



##### Excise duty



##### Service tax





## GOVERNMENT RECEIPTS

### NON-TAX REVENUE

1. Interest receipts on loans by the Central Government
2. Dividends and profits on investments made by the Central Government.
3. Cash grants-in-aid from foreign countries.
4. Grants-in-aid from international organizations

1



2



3



4



The World Bank



Asian Development Bank





## GOVERNMENT RECEIPTS

RECEIPTS

2

CAPITAL

CREATE LIABILITY

- Borrowing by the Govt. from RBI
- Borrowings by the Govt. from public.
- Borrowings by the Govt. from commercial banks / Fis
- Loans received from foreign Governments.
- Loans from multilateral lenders like WB, IMF etc.

REDUCE CAPITAL /  
FINANCIAL ASSETS

- Sale of stake in PSUs
- Recovery of loans



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# ECONOMY

## GOVERNMENT RECEIPTS

2

CAPITAL RECEIPTS

CREATE LIABILITY



1. Borrowing by the Govt. from RBI
2. Borrowings by the Govt. from public.
3. Borrowings by the Govt. from commercial banks / Fis
4. Loans received from foreign Governments.
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1



2



3



4



5







## GOVERNMENT RECEIPTS

### 2 CAPITAL RECEIPTS

REDUCE CAPITAL /  
FINANCIAL ASSETS



1. Sale of stake in PSUs
2. Recovery of loans

1



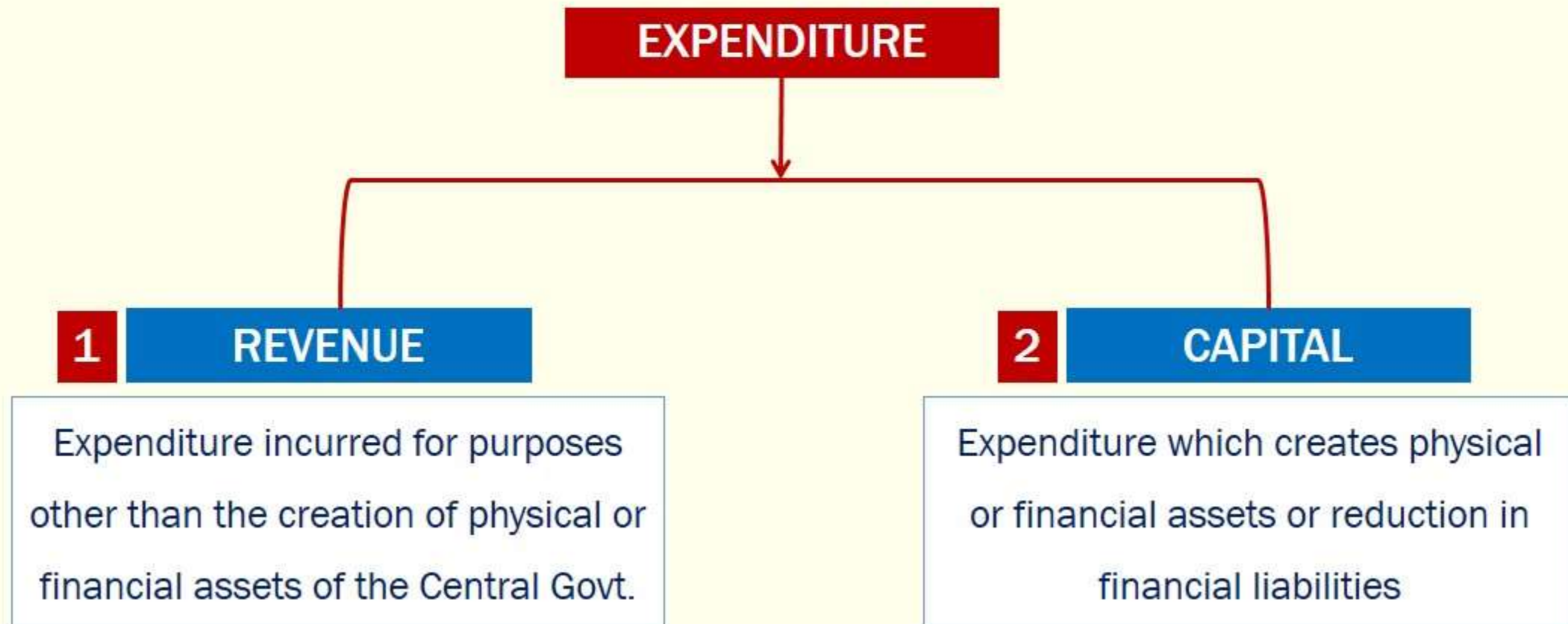
2





## GOVERNMENT EXPENDITURE

### EXPENDITURE



```
graph TD; A[EXPENDITURE] --> B[1 REVENUE]; A --> C[2 CAPITAL]; B --> D["Expenditure incurred for purposes other than the creation of physical or financial assets of the Central Govt."]; C --> E["Expenditure which creates physical or financial assets or reduction in financial liabilities"];
```

1

### REVENUE

Expenditure incurred for purposes other than the creation of physical or financial assets of the Central Govt.

2

### CAPITAL

Expenditure which creates physical or financial assets or reduction in financial liabilities





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# ECONOMY

## GOVERNMENT EXPENDITURE

### EXPENDITURE

1

REVENUE



2

CAPITAL





## GOVERNMENT EXPENDITURE

### EXPENDITURE

1

### REVENUE

- Regular maintenance expenditure
- Interest payments on debt
- Grants given to State Governments.
- Subsidies (both implicit & explicit)
- Defence services
- Salaries and pensions

2

### CAPITAL

- Acquisition of land, buildings and machinery
- Investment in shares
- Loans and advances to States, UTs, PSUs and others.





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# ECONOMY

## GOVERNMENT EXPENDITURE

### EXPENDITURE

1

### REVENUE

1. Regular maintenance expenditure
2. Interest payments on debt
3. Grants given to State Governments.
4. Subsidies (both implicit & explicit)
5. Defence services
6. Salaries and pensions

1



2



3



4



5



6





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# ECONOMY

## GOVERNMENT EXPENDITURE

### EXPENDITURE

2

### CAPITAL

- Acquisition of land, buildings and machinery
- Investment in shares
- Loans and advances to States, UTs, PSUs and others.





## CAPITAL EXPENDITURE (CAPEX)

“It is the Expenditure to acquire / upgrade buildings or equipment. This expenditure is for the acquisition of long term assets”.



## CAPITAL EXPENDITURE



## REVENUE EXPENDITURE





## CAPITAL EXPENDITURE



## REVENUE EXPENDITURE



## CAPITAL EXPENDITURE



## REVENUE EXPENDITURE





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